

success after college. She never sees herself being financially dependent on others, even if she is disabled in the future. Her goals are congruent with those of most millionaires in this regard.

QUESTION 4: DO YOU SPEND A LOT OF TIME PLANNING YOUR FINANCIAL FUTURE?

For every 100 millionaires who answer “no,” there are 192 who answer “yes.” Again, many who answer “no” are either high-income types with relatively low levels of accumulated wealth, those who inherited all or most of their wealth, or wealthy seniors/retirees.

People such as Mrs. Rule accurately label themselves as planners. In fact, the responses to this question are highly correlated to the actual hours the respondents allocate to planning their financial futures. On average, millionaires spend significantly more hours per month studying and planning their future investment decisions, as well as managing their current investments, than high-income nonmillionaires. The hours allocated to planning and managing finances are detailed in Chapter 3.

Millionaires like Mrs. Rule not only spend more time planning their finances than nonmillionaires, they also seem to get more out of their planning hours. Remember, Mrs. Rule is not only in the auctioneering business. Her job includes appraising the value of what her company auctions. Often Mrs. Rule invests in those same areas in which she has considerable expertise. In this regard she is like many millionaires. They astutely allocate their time so that they can plan their business and personal investing at the same time. We often find that highly productive auctioneers are also excellent investors. Take, for example, an auctioneer who specializes in auctioning commercial real estate. What area of investments does he know a great deal about? Commercial real estate. He is his own investment analyst. What if your auctioneering specialty is antique furniture and American firearms? Should you invest in high-tech securities? Probably not. But you would be wise to use your expertise to help you make your investments. If you’re well versed in antiques, why not leverage your knowledge?

You don’t have to be an auctioneer to benefit from your knowledge. One of our associates was formerly the head of strategic planning at a major corporation. Part of his job was to study a wide variety of trends across a wide variety of business categories. Years ago he discovered